

and set up a small drug manufacturing unit with five psychiatry products. He named the company Sun Pharmaceutical Industries. “The sun is the perennial source of all energy,” he says.

Shanghvi is known for a personal, measured and understated style. He dresses simply, with little to suggest the scale of the business he runs. He avoids corporate social circuits and keeps a tightly controlled routine, but is fond of *idlis* from a South Indian joint in Mumbai that friends occasionally drop off at his home. His biography, *The Reluctant Billionaire*, is aptly titled. And yet the reluctance has always been selective. On the big calls, like the acquisition of Israel-based Taro in 2010, Ranbaxy in 2015, and now Organon, Shanghvi has shown a willingness to move single-mindedly in ways that stand in stark contrast to his otherwise cautious nature.

When Sun Pharma went through its toughest phase between 2014 and 2018—coinciding with the acquisition of the embattled Ranbaxy, pricing collapse in the US generics market, warning letters from the US FDA, and a 70% crash in profits in FY18—Shanghvi did what he has always done: he fought, in his low-profile but unyielding manner.

For instance, Sun lost nearly a billion dollars in revenue as pricing pressure intensified in the US generics market amid customer consolidation and increased competition. It responded by building newer profit streams through specialty medicines, increasing its presence in emerging markets and expanding its portfolio in India.

The net profit fell from ₹4,777 crore in FY17 to ₹3,301 crore in FY18. And revenue from ₹27,518 crore to ₹26,066 crore. In FY25, the net profit was around ₹11,000 crore, on a revenue of over ₹55,000 crore, with specialty medicines continuing to drive growth.

HOW SHANGHVI BUILDS

The Organon bet draws directly from the operating philosophy Shanghvi has built over the years—disciplined scaling, incremental improvement and long-term positioning rather than short-term market applause.

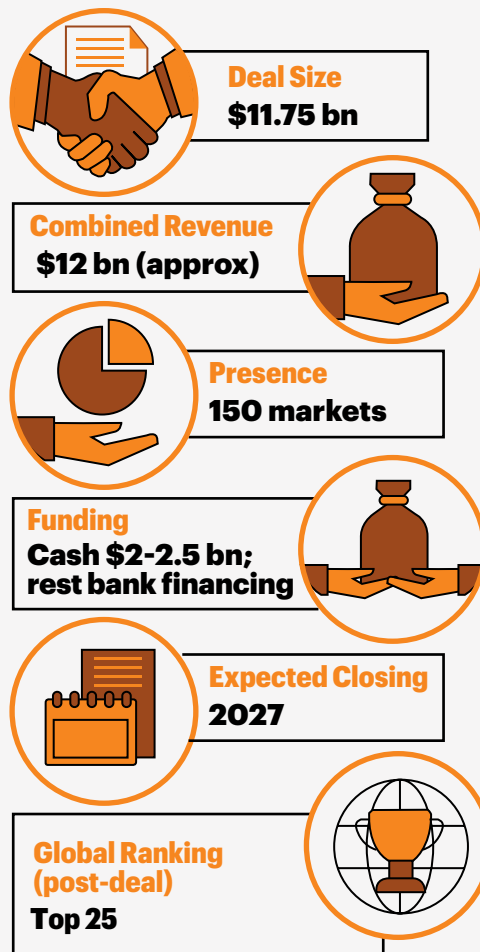
“Each of our businesses should focus on improving its performance last year,” Shanghvi had told *BT* in an earlier interaction.

Sun’s push into innovative medicines began more than a decade ago as the company sought to move beyond pure generics and create additional growth engines. “We have demonstrated our ability to find a way to grow the business,” Shanghvi said in the investor call after the announcement of the recent deal.

Organon may be the biggest expression yet of that philosophy. For Shanghvi, the acquisition is not just a scale play but continuation of a strategy he has

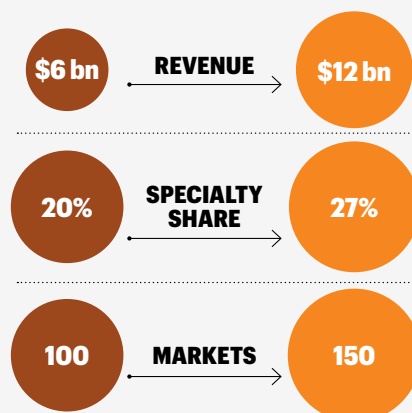
ORGANON DEAL SNAPSHOT

● All-cash acquisition of 100% of Organon’s shares; firm to merge with Sun Pharma subsidiary, with Organon surviving merger



BEFORE VS AFTER

● The deal will substantially increase Sun’s footprint



SOURCE COMPANY